Personal Finance Basics: Budgeting

A budget is a plan for where money goes, not a restriction on spending. Track actual expenses for two to three months before setting targets, otherwise the plan will be based on guesswork.

A common starting point is the 50/30/20 split of take-home pay: 50 percent for needs such as housing, food and transport, 30 percent for wants such as travel and hobbies, 20 percent for saving and debt repayment.

The emergency fund should cover three to six months of essential expenses, not three to six months of income. Keep it liquid and low volatility.

Risk and Return, and Why Diversification Works

Expected return always comes from accepting uncertainty. A product that advertises high return with no risk usually hides the risk somewhere else, often in liquidity or credit quality.

Before investing, answer three questions:
what is the underlying asset, where does the return come from,
and how much could be lost in the worst case.

Diversification reduces the impact of any single asset, sector or region.
Buying many funds with overlapping holdings is not real diversification.
Spreading across asset classes matters more than spreading within one class.

Common Behavioral Biases in Investing

Loss aversion: losses feel roughly twice as painful as equivalent gains, which pushes people to sell good assets too early and hold bad ones too long.

Recency bias: assuming the last year’s return predicts the next ten years. Markets mean-revert far more than recent performance suggests.

Herding: buying because others are buying, usually near the peak.

Overconfidence: trading more frequently and underperforming after costs.

Anchoring: fixating on the purchase price instead of the current fundamentals.

A written investment policy, reviewed once a year, counters most of these.